The AI Economy: Business Strategies and Policy Issues

Stephen Weymouth
Dean's Professor
McDonough School of Business
Georgetown University
stephen.weymouth@georgetown.edu
www.stephenweymouth.com

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Course Overview

Artificial intelligence (AI) is transforming business strategy, reshaping economies, and generating new social and political conflicts. This course examines how firms are using AI to gain competitive advantage and the political implications of those decisions. Through case studies and simulations, students will analyze real-world business strategies and consider the broader consequences of AI for work, energy use, politics, and international cooperation. Students will debate the trade-offs created by emerging business models and evaluate competing approaches to AI regulation and strategic competition in the United States, Europe, and China. By the end of the course, students will be able to assess claims about AI more critically, develop strategies for firms operating under technological uncertainty, and propose practical responses to major policy challenges. The course is designed for students who want to understand both the business uses of AI and its wider implications for society and international cooperation.

Requirements and Grades

- Class participation: 10%
- Group presentations: 35%
- Quiz (day 5): 10%
- Final examination: 45%

The group-presentation grade is based on the final student-designed AI policy simulation on the final day of class (13 August). See the separate project brief. The final on-site examination is Friday, 14 August 2026, at 12:15.

Note: Complete all assigned readings before class unless they are marked "Skim." For skimmed readings, familiarize yourself with the main argument and evidence. The in-class activities build on the readings.

Schedule

Day 1: The AI Moment

Session A: Capabilities, Diffusion & Forecasting

- Mustafa Suleyman, *The Coming Wave* (2023), Ch. 1.
- Stanford HAI, "Inside the AI Index: 12 Takeaways from the 2026 Report" (Apr 2026)
- Kokotajlo, Alexander, Larsen, Lifland & Dean, *AI 2027* (2025). Read only: the introduction; "Mid 2025: Stumbling Agents"; "Early 2026: Coding Automation"; and the discussion of why uncertainty expands after 2026.
- Optional: Joshua Rothman, "Two Paths for A.I.," *The New Yorker* (2025) — contrasts *AI 2027* with the "normal technology" view.

Activity: Forecast audit. Teams score precise near-term claims as consistent, in tension, or unresolved using evidence through mid-2026. Each team identifies one supported prediction, one challenged prediction, one claim that cannot yet be evaluated, and the assumption doing the most causal work. See *Forecast Audit* handout.

Session B: How Language Models Behave

- Ethan Mollick, "Thinking Like an AI," *One Useful Thing* (2024)

Activity: Students predict and compare model behavior across tasks. See *How Language Models Behave* handout.

Day 2: Enterprise Software & AI Integration

Session A: Agentic AI and the Future of Enterprise Software

- Deep Nishar & Nitin Nohria, "How Gen AI Could Disrupt SaaS—and Change the Companies That Use It," *Harvard Business Review* (2025)

Activity: Redesign an enterprise software product around an end-to-end customer outcome. See *Rebuilding SaaS for an Agentic Era* handout.

Session B: Scaling AI and Capturing Value

- Ethan Mollick, "Making AI Work: Leadership, Lab, and Crowd," *One Useful Thing* (May 2025)
- Skim: McKinsey, "The State of AI in 2025: Agents, Innovation, and Transformation" (Nov 2025)

Activity: Diagnose why high employee adoption has not produced enterprise value. Redesign one workflow. See *From Adoption to Enterprise Value* handout.

Day 3: Labor Markets & Inequality

Session A: Prediction and Exposure

- ILO Working Paper 140, *Generative AI and Jobs: A Refined Global Index of Occupational Exposure* (2025) Read the executive summary and the pages defining the "exposure gradient".
- Skim (as a historical document): Carl Frey & Michael Osborne, "The Future of Employment" (2013)

Session B: Observed Employment Effects

- Erik Brynjolfsson, Bharat Chandar & Ruyu Chen, "Canaries in the Coal Mine? Six Facts about the Recent Employment Effects of Artificial Intelligence" (Nov 2025)
- Zanna Iscenko & Fabien Curto Millet, "Looking for the Ladder: Is AI Impacting Entry-Level Jobs?" EIG (Jan 2026) Read the executive summary and the sections directly challenging the identification and generalizability of *Canaries in the Coal Mine*.
- Skim: Anders Humlum & Emilie Vestergaard, "Early Labor Market Transformation under Generative AI," NBER WP 33777 (2025) Focus on abstract and principal results only.
- Skim: Brynjolfsson, Chandar & Chen, "Canaries, Interest Rates, and Timing" (Feb 2026)
- Reference: the live Canaries Dashboard — updated ADP-based employment and wage indicators.

Activity: Build an evidence matrix locating each reading on the chain prediction → exposure → adoption → productivity → hiring → employment → wages and hours. Compare what the studies find. See *AI and Employment: From Exposure to Causal Evidence* handout.

Guest Speaker: Larissa Zutter, AI Growth & Success Manager @ Peak Privacy; Board Member @ Center for AI and Digital Policy

Day 4: Sustainability & Energy Footprint

Session A: AI's Energy Demand

- IEA, *Key Questions on Energy and AI*, Executive Summary (Apr 2026)

Session B: Corporate Commitments and Local Costs

- Karen Hao, "Microsoft's Hypocrisy on AI," *The Atlantic* (2024)

Activity: Simulation involving a proposed 100 MW AI data center. Stakeholders negotiate key tradeoffs. See *Town Hall: A 100 MW AI Data Center* handout.

Day 5: Regulation and Competitiveness

QUIZ (COVERING MATERIAL FROM DAYS 1–4)

Session A: What Can the EU do to Compete in AI?

- The Draghi Report on the Future of European Competitiveness (2024).
- Mario Draghi, "One Year On," remarks in Brussels (16 Sep 2025)
- Reference: European Commission, "The Draghi Report: One Year On"

Activity: Teams build an implementation matrix matching each Draghi diagnosis. See *Can Europe Close the AI Competitiveness Gap?* handout.

Session B: AI Regulation After the Omnibus: US & EU Paths

- Council of the EU, final approval of the Digital Omnibus on AI (29 June 2026). Read the overview, main changes, and application timeline.
- Diego Naranjo, "The AI Omnibus: Fast-Tracking Deregulation, Weakening Digital Rights," Liberties (17 June 2026)
- Executive Order, "Ensuring a National Policy Framework for Artificial Intelligence" (11 Dec 2025)
- White House, National AI Legislative Framework (20 Mar 2026)
- Reference tool: EU AI Act Explorer. Consult the provisions on prohibited practices, high-risk systems, general-purpose AI, transparency (Art. 50), and enforcement

Simulation: Implementing the EU Digital Omnibus. Students negotiate how the new law should be enforced and applied. See the *EU Digital Omnibus Implementation Compact* handout.

Day 6: Institutional Risk & Alignment

Session A: AI and Democracy

- Luke Drago and Rudolf Laine, "Defining the Intelligence Curse".
- International AI Safety Report 2026 (Bengio et al., Feb 2026) Read the executive summary plus the sections on influence and manipulation (§2.1.2) and risks to human autonomy (§2.3.2).
- Skim: Maximilian Kasy, "The Political Economy of AI: Toward Democratic Control of the Means of Prediction," in *The Oxford Handbook of Algorithmic Governance and the Law* (2026)

Activity: Each group traces one mechanism linking AI to democratic deterioration. It then designs a targeted intervention and identifies its enforcement problem. See *AI and Democratic Power* handout.

Session B: Alignment & Responsible Scaling

- Anthropic, *Responsible Scaling Policy*, Version 3.0 (Feb 2026) Read the executive summary.
- "Exclusive: Anthropic Drops Flagship Safety Pledge," *TIME* (Feb 2026)
- Skim: OpenAI, *Updated Preparedness Framework* (2025)
- Optional: GovAI, "Anthropic's RSP v3.0: How It Works, What's Changed, and Some Reflections" (2026)

Activity: A hypothetical frontier model crosses high-capability thresholds while a competitor appears close behind. Teams compare Anthropic's RSP and OpenAI's Preparedness Framework, then advise policy. Central question: can voluntary safety commitments remain credible under competitive pressure? See *Frontier Model Decision* handout.

Day 7: Global Coordination & Geopolitics

Session A: Global Coordination & AI Summits

- UK Gov., "Bletchley Declaration on AI Safety" (2023)
- New Delhi Declaration on AI Impact (Feb 2026)
- "The Future of the AI Summit Series," policy memo (2026). Read the Executive Summary.
- IISS, "India's AI Summit: A Success, but with Omissions" (Feb 2026)
- Optional: Thomas Larsen et al., *AI 2040: Plan A*, AI Futures Project (2026).

Activity: Assess the summit series' shift from frontier safety toward development and commerce. Teams then use a fixed institutional budget to design the next stage of the process. See *Design the Next Global AI Summit* handout.

Session B: Techno-Blocs & Strategic Digital Sovereignty

- Stephen Weymouth, *Digital Globalization* (2023), Chs. 1 & 5
- Stephen Weymouth, "Digital Disintegration: Techno-Blocs and Strategic Sovereignty in the AI Era," *International Organization* 79(S1): S57–S70, 2025 (open access)

Activity: Design a Swiss AI sovereignty strategy under a fixed policy budget. See *Swiss AI Sovereignty Strategy* handout.

Day 8: Workshop & Presentations

Session A: Final Simulation Workshop
Activity: Teams finalize their projects.

Session B: Student-Designed Simulations & Wrap-Up
Activity: Each team runs a 12–15 minute AI policy simulation followed by a five-minute analytical debrief and recommendation. See *Final Group Project: Design and Run an AI Policy Simulation* brief.